MERTON DAILY BRIEF - Monday, June 15, 2026

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HEADLINE OF THE DAY

*Iran and US agree peace deal to open Strait of Hormuz.** The announcement of a ceasefire and provisional agreement between Washington and Tehran sends shockwaves through markets: oil plunges nearly 5% (WTI to $80.81), gold corrects sharply ($4,346 after record highs), Asian stocks soar (Nikkei +5%), and VIX relaxes to 17.68. Trump calls the deal a "historic victory" and heads to the G7 in France with strengthened political capital. But doubts remain: the deal is not yet signed, tanker backlogs in the strait would take weeks to clear, and the ECB just raised rates due to the energy surge.

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GLOBAL SENTIMENT

Indicator	Level	Change	Signal
VIX	17.68	-1.7%	? Relaxed
DXY	99.42	-0.3%	? Neutral
Gold	$4,346	-2.1%	Correction
US 10Y	4.487%	-2bp	? Stable
US 30Y	4.975%	-1bp	? Stable
S&P 500	7,431	+0.64%	? Bullish
NASDAQ	25,889	+0.4%	? Bullish
WTI	$80.81	-4.8%	Plunge
Brent	$83.60	-4.2%	Plunge
BTC	$65,678	-1.2%	? Neutral
Copper	$6.539	+0.3%	? Slight +
Silver	$70.27	-3.1%	Correction

* Read:** Sentiment is massively "risk-on" post Iran-US deal, but the picture is more nuanced than it appears. Gold and silver correct sharply (real rates dominating the peace deal narrative), oil plunges but remains at elevated levels ($80+ WTI), and US yields barely move as the market prices Fed status quo. VIX at 17.68 signals measured confidence - no euphoria. Copper holds up well, reflecting AI/infrastructure demand expectations. BTC slightly decouples from risk-on, suggesting rotation into equities rather than alternative assets.

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MACRO - WHAT MOVED

United States

PPI May +1.1% vs consensus +0.6% - significantly above expectations. Energy is the main driver (+4.2% annual consumer prices in May, highest in 3 years). Producer prices show inflation is not yet tamed despite the oil deal.

Kevin Warsh confirmed as new Fed chairman - dubbed "chairman" by Trump. Warsh makes first hires including a "Project 2025" author. Market interprets this as hawkish, but the Iran deal may give the Fed room to hold rates.

Job openings at 7.6M in April - highest in nearly 2 years. Labor market resists, pushing rate cut expectations further out. Long-term unemployment is rising however, signaling underlying fragility.

Trump at G7 in France - arrives with strengthened political capital from the Iran deal. Macron hopes the G7 will deliver an AI funding and data centers legacy. Focus on bilateral trade discussions.

SpaceX IPO - listing is a success, with enthusiastic investors despite the absence of traditional DCF. Gina Rinehart made a "significant" investment. A milestone in space commercialization.

Fed: rate cuts pushed back - strong jobs report + elevated PPI means the Fed has no room to ease. Market prices 0 cuts before September, with the first potential cut in Q4 2026.

Europe

ECB raises rates for the first time since 2023 - an unexpected hawkish move, justified by Iran war energy costs. This creates a policy divergence with the Fed (which holds), structurally supporting EUR. Impact on European growth remains to be seen.

UK: economy shrank 0.1% in April - Iran conflict weighed on British growth. UK forces board a sanctioned Russian shadow fleet oil tanker, a symbolic but significant escalation.

Finland/Stubb proposes EU expansion to 40 states, including Canada - shock idea reflecting post-conflict geopolitical ambitions. Low concrete probability, but reveals the Zeitgeist.

Mistral AI (EUR14B valuation) - Arthur Mensch positions the European AI champion against US giants. The Anthropic freeze (models frozen by Trump administration) creates opportunities for European players.

China / Asia

Asian stocks +5% on Nikkei - strong risk-on post Iran deal. Global funds retreat from Japan's long bonds (BOJ expected to hike rates to highest since 1995 despite Ueda's absence).

Chinese economy in slow lane - consumption may drop further. Chinese start-ups expose cracks in Beijing's tech funding model. But China actively recruits AI talent from the US, targeting the next "super-app".

UK / Emerging Markets

UK contraction in April: -0.1% vs expected stagnation. Sterling holds up (1.3454) thanks to favorable rate differential and global risk-on.

India: Goldman Sachs sees RBI rate hike cycle starting in October - inflation risks amplified by energy volatility push RBI toward tightening.

Swiss: disputed population cap rejected - Swiss pragmatism in the face of post-conflict migration pressure.

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GEOPOLITICS

Hot

US-Iran peace deal: Trump and Iran have agreed to open the Strait of Hormuz and extend the ceasefire. Iran's Deputy Foreign Minister confirmed the deal. But it's not yet formally signed - Trump says "next few days" for finalization. Analysts call it a "truce of convenience" rather than a lasting peace.

Kyiv under Russian attack hours after the Putin-Ukraine call. Ukraine remains the secondary theater, but Ukrainian drones continue to choke Russia's lifeline to Crimea.

Watch

Trump at G7 in France - arrives in a position of strength. Discussions on trade, Ukraine, and AI will be decisive. Macron hopes for an AI funding and data centers deal.

Strait of Hormuz backlog: "weeks" according to analysts. The deal is politically signed but logistically, normalization will take time. Tanker queues in the Gulf are massive.

Anthropic frozen by Trump - the Trump administration froze Anthropic's AI models, creating a vacuum that Mistral and European players are trying to fill.

Nokia bets on AI-powered networks - the Finnish champion is repositioning its telecom offering toward AI infrastructure.

Positive

Iran-US de-escalation - even if imperfect, any reduction in Middle East conflict risk is a structural positive for global markets and energy.

SpaceX IPO success - marks the maturation of commercial space and attracts quality institutional investors.

Asia risk-on - Nikkei +5% reflects renewed confidence in the Asia-Pacific region.

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FX FOCUS

Pair	Level	Change	Signal
`EUR/USD`	1.1618	+0.25%	? EUR supported
`GBP/USD`	1.3454	+0.18%	? GBP resilient

`USD/JPY`	160.01	+0.4%	JPY weak
`USD/CHF`	0.793	+0.1%	? CHF stable

Analysis: The dollar is under moderate pressure (-0.3% DXY at 99.42), benefiting from risk-on but penalized by dovish Fed repricing and the ECB hawkish surprise. EUR benefits from the ECB/Fed policy divergence - the ECB rate hike creates a structural tailwind. JPY continues to weaken (160+) as the US-Japan rate differential remains abyssal despite BOJ hike expectations. CHF remains stable - investors seem to trust Swiss neutrality even in turbulent times.

****Pair to watch:** `EUR/USD` - a close above 1.1650 would confirm the start of an EUR rally fueled b**

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COMMODITIES

Oil
WTI at $80.81 (-4.8%), **Brent at $83.60 (-4.2%)** - Massive impact from the Iran deal. Before the announcement, oil had surged with the strait blockage. The correction is rapid but prices remain structurally elevated ($80+ WTI is 3x 2024 levels). Analysts warn the tanker backlog will take weeks to clear, which could limit the downside below $78 in the short term. Consensus sees WTI between $75-85 in coming weeks.

Gold
Gold at $4,346 (-2.1%) - Sharp correction after record highs. Options flows suggest weakness could continue. Morgan Stanley says investors are questioning gold's role in portfolios, but another metal (copper?) is set to outperform. Real rates dominate - with elevated US yields not falling, gold loses relative appeal. Key support at $4,200-4,250.

Silver / Copper
Silver at $70.27 (-3.1%) - Follows gold in correction. Silver's underperformance vs gold (rising Au/Ag ratio) signals caution on the industrial side.
Copper at $6.539 (+0.3%) - Remarkably resilient in a down day for commodities. Copper is the real beneficiary of the AI/infrastructure theme - data centers and power grids demand copper in bulk. This is THE commodity to watch for the AI buildout theme.

Soft Commodities
US Interior Secretary Burgum on coal-powered data centers - the AI boom is changing the energy landscape. Coal is returning as a source for American data centers.
Singapore to launch gold clearing system - bid to become a precious metals hub. Structural bullion demand driver for Asia.

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TODAY'S CALENDAR - Monday, June 15, 2026

Time (CET)	Country	Event	Consensus	Impact
14:30	US	Empire State Manufacturing, Ju	-8.0	?
15:00	US	NAHB Housing Market, Jun	34	?
All week	-	**Trump at G7 (France)**	-	
All week	-	**Iran/US deal implementation*		

*Week ahead:**
Tue 16/06: US Retail Sales May, Industrial Production May
Wed 17/06: US Building Permits, Housing Starts
Thu 18/06: US Jobless Claims, Philly Fed Manufacturing
Fri 19/06: G7 closing, potential final communiqué on trade and AI

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DEEP MACRO THEME

*« The End of the Geopolitical Risk Premium - and Then What? »**

The Iran-US deal, if maintained, potentially marks a turning point in global geopolitical risk assessment. Since 2022, markets have priced a permanent "war premium" in energy (oil +40% vs trend) and gold (which broke all records). De-escalation could unlock a massive revaluation of risky assets: emerging market equities, industrial commodities, and defense sectors (which would underperform in peace).

But here's the paradox: the Fed now has LESS room to cut rates. With PPI at +1.1%, inflation at 4.2% annual, and job openings at 7.6M, monetary policy is not in "rescue" mode. If growth benefits from the Peace Dividend but inflation stays sticky, the Fed is trapped - and real rates remain elevated, weighing on gold and favoring short-term bonds.

The real macro winner of this deal is not oil or gold. It's **copper and AI infrastructure**. The end of the Middle East conflict would enable a "great rotation": from energy and defense to tech and data centers. And this is exactly what the market is starting to price: copper +0.3% on a day of declining commodities.

This week's theme is the "Peace Dividend Paradox": peace is good for equities, but it reinforces upstream inflationary pressures (people consume more when they're not afraid), which limits rate cuts. The alpha is not in dumb risk-on - it's in the shape of the yield curve and the indirect beneficiary of the rotation toward AI infrastructure.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

1. **Oil will quickly drop to $65-70 on the Iran deal** - Market pricing immediate normalization. **FALSE**: Tanker backlog will take weeks. Real supply doesn't return instantly. WTI has a floor at $78-80 in the short term.

2. **The Fed will cut rates in September thanks to geopolitical easing** - Futures adjusting for dovish scenario. **EXAGGERATED**: PPI at +1.1% and inflation at 4.2% give Warsh zero room. The Fed stays on hold until Q4 at earliest. The dovish market is too optimistic.

3. **Gold will test $4,000 quickly** - Options flows pricing continued weakness. **PARTIAL**: Gold is correcting, but $4,200 is major support. Below that, $4,000 is possible, but central banks (China, India) will buy the dip.

4. **ECB hawkishness is a one-off** - Market assumes the ECB hike is a Iran-related accident. **UNDERESTIMATED**: Energy prices will stay elevated ($80+ WTI), and European inflation could resurface. The ECB could hike again in Q3.

5. **Risk-on will last all week** - Asia +5%, US futures +0.5%. **CAUTION**: The G7 could generate negative surprises (tariffs, Ukraine talks), and Wednesday's PPI could remind of inflation. Good timing for long equities, but reversal risk is real mid-week.

6. **USD will continue to weaken** - "USD to continue trending weaker, especially against Asian FX" per one economist. **PARTIAL**: USD weakens vs EUR (policy divergence) but JPY stays weak, propping up DXY. Don't be dogmatically short USD.

7. **Copper benefits from AI buildout** - Growing consensus. **CORRECT**: This is the most convincing structural trade of the moment. Copper benefits from AI/data center demand and reduced geopolitical risk premium on supply chains.

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The Alpha:

1. **? LONG Copper (HG=F) - target $6.80-7.00**
Thesis: Copper is the "oil of AI". Data centers, electrification, underinvested supply.
Entry: Current zone $6.53-6.55
Stop: Below $6.30
Catalyst: G7 data center discussions, Chinese PMIs stabilizing.

2. **? LONG EUR/USD - target 1.1750-1.1800**
Thesis: ECB hawkish divergence (1 more hike likely) vs Fed hold. Positive carry.

Entry: 1.1618 current or pullback to 1.1550
Stop: Below 1.1480
Catalyst: ECB hawkish comments, US inflation staying high (preventing Fed from moving).

3. **SHORT Gold (XAU) - target $4,150-4,200**
   Thesis: Real rates stay elevated, risk-on reduces safe haven demand, options flows are bearish.
   Entry: Zone $4,330-4,350
   Stop: Above $4,450 (ATH)
   Catalyst: Iran deal officially confirmed, bond yields rising.

4. **? LONG Strangle on WTI - range $75-85**
   Thesis: Oil volatility remains extreme. Deal not yet signed, long backlog. A return to $75 or spike to $90 is possible depending on headlines.

5. **? LONG Tech/NASDAQ - NQ futures**
   Thesis: Risk-on + AI theme (SpaceX IPO, Mistral, AI buildout) favors NASDAQ. Less rate downside (inflation high but Fed captive).
   Entry: Pullback to 25,600-25,700
   Stop: Below 25,000
   Catalyst: G7 AI deal, SpaceX momentum, Asian tech rally.

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MERTON'S TAKE

We are in a rare moment: a "peace dividend candle" that could redefine allocations for the coming months. The Iran-US deal, whatever its imperfections (and there are many - this is Trump diplomacy, so volatile), changes the game on energy and risk premium. Oil at $80 with a reopening strait is not the same as oil at $80 in the middle of a conflict. The forward outlook is more bearish for energy, more bullish for risk.

*My conviction this week: we are at the beginning of a rotation from the "war trade" to the "peace + AI trade."** During the crisis, gold, oil, and defense outperformed. Now I want to be long copper (the real AI buildout beneficiary), long tech/NASDAQ, and short gold (which had its moment of glory). EUR/USD is also a good positive carry trade with the ECB/Fed divergence.

The #1 risk this week is a higher-than-expected US inflation print (PPI Wednesday). This could reignite the rate hike narrative and break the risk-on - but even in this scenario, I believe tech equities would hold up better than defensive commodities.

*June's theme is not Iran - it's artificial intelligence as THE macro narrative.** Every day brings news: SpaceX IPO, Mistral AI, Anthropic frozen, Nokia AI networks, coal-powered data centers. AI is the thread connecting energy, tech, gold, and geopolitics. That's where the alpha is.

*Positioning:** Long copper and EUR. Short gold hedged. Add long tech on BTC weakness. Global stop if the Iran deal collapses (low probability in 72h). The US 10Y at 4.48% is the level to watch: above 4.60%, all risk-on is questioned.

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SOURCES CONSULTED

Yahoo Finance API - real-time prices for S&P 500, VIX, Gold, WTI, Brent, EURUSD, GBPUSD, USDJPY, USDCHF, BTC, Copper, Silver, US10Y, US30Y, US5Y, NASDAQ, DXY
CNBC.com - World, Federal Reserve, Economy, Oil, Gold, Markets pages - headline scraping via curl
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FT RSS - Home and Markets feeds (ft.com/rss)
Trading Economics - US and EU calendar pages (limited data due to auth wall)

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